STRATEGIC BUSINESS MANAGEMENT

Suggested Answers
November-December 2023

Answer to the Question# 1(a):

Corporate-Level Strategies:

HP (Hewlett-Packard):

- **Diversification through Acquisition:** HP pursued a horizontal integration strategy by acquiring Compaq, a rival computer maker. This move aimed to strengthen HP's position in the market, achieve cost synergies, and enhance its product and service offerings. The acquisition allowed HP to diversify its product portfolio and enter new markets, particularly in the computer service and consultancy business.

Dell:

- **Differentiation and Diversification:** Dell focused on differentiation by entering new markets and diversifying its product offerings. This included moving beyond PCs into other electronics industries, such as printers, MP3 players, televisions, etc. Dell's strategy also involved entering the physical retailing industry by opening Dell PC stores in major shopping malls.

Answer to the Question# 1(b):

Advantages and Disadvantages:

Advantages:

HP's Acquisition Strategy:

- **Cost Savings:** The acquisition allowed HP to achieve significant cost savings by eliminating redundant administrative functions and workforce.
- **Diversification:** HP diversified its product portfolio, enabling it to offer a comprehensive solution to customers and compete more effectively in the computer service and consultancy business.

Dell's Differentiation and Diversification:

- **Increased Differentiation:** Dell's entry into new markets and industries, as well as the acquisition of Alienware, increased product differentiation.
- **Market Expansion:** Diversification into different product categories and retail channels expanded Dell's market reach.

Disadvantages:

HP's Acquisition Strategy:

- **Integration Challenges:** Merging two large companies with significant product overlap poses integration challenges and risks, such as cultural differences and operational issues.
- **Market Perception:** The market initially had doubts about whether HP could effectively change its business model and compete with Dell's cost leadership.

Dell's Differentiation and Diversification:

- **Cost Structure Concerns:** Analysts worried that Dell's moves to increase differentiation might increase its cost structure, potentially affecting its historically efficient business model.
- **Market Saturation:** Entry into new industries, such as MP3 players and televisions, may face challenges due to market saturation and competition.

Answer to the Question# 1(c):

Alternative Strategies:

1. Strategic Alliances and Partnerships:

- **Advantages:** Allows companies to leverage each other's strengths without the complexity of full acquisitions. It provides opportunities for joint research and development, marketing, and distribution.
- **Disadvantages:** Limited control and decision-making power, potential conflicts of interest, and the need for effective collaboration.

2. Joint Ventures:

- **Advantages:** Shared resources and risks, access to new markets and technologies, and potential for synergies.
- **Disadvantages:** Potential conflicts between partners, challenges in decision-making, and the need for effective governance structures.

3. Organic Growth and Innovation:

- **Advantages:** Allows companies to focus on internal development and innovation, maintaining control over the entire process.
- **Disadvantages:** Requires time and significant investments, with no guaranteed success. It may take longer to see returns compared to acquisition strategies.

4. Strategic Outsourcing:

- **Advantages:** Cost savings through outsourcing non-core functions, increased flexibility, and access to specialized expertise.
- **Disadvantages:** Dependence on external partners, potential loss of control, and the need for effective management of outsourcing relationships.

Each alternative strategy comes with its own set of advantages and disadvantages, and the choice depends on the specific goals, resources, and capabilities of the companies involved.

Answer to the Question# 2(a & b):

a) **Alternative Strategic Scenarios:**

1. Product Diversification:

- **Strategy:** Expand the product line beyond bird seeds to cater to a broader market. Introduce complementary pet products or accessories to tap into a wider customer base.
- **Pros:** Diversification can help reduce dependence on a declining market, attract new customers, and create new revenue streams.
- **Cons:** Requires significant research and development, potential for brand dilution if not executed carefully, and may face resistance from traditional customers.

2. Market Expansion:

- **Strategy:** Explore new markets or regions where the demand for bird seeds or related products is still growing. This may include international markets or untapped regions within the current market.
- **Pros:** Opens up new revenue opportunities, helps counteract the decline in the current market, and may leverage existing distribution networks.
- **Cons:** Requires thorough market research, potential challenges in adapting products to different markets, and risks associated with entering unfamiliar territories.

3. Cost Leadership:

- **Strategy:** Implement cost-cutting measures to improve overall efficiency and reduce production costs. This may involve renegotiating contracts with suppliers, optimizing production processes, and streamlining operations.
- **Pros:** Can improve profitability in the short term, may help compete with lower-priced competitors, and aligns with the market trend of cost-cutting.
- **Cons:** Potential quality compromise, negative impact on brand reputation, and may not be a sustainable long-term solution.

4. Premiumization and Brand Differentiation:

- **Strategy:** Invest in product quality, packaging, and branding to position the company as a premium and unique supplier in the market. Emphasize the high quality and unique features of the bird seeds.
- **Pros:** Appeals to niche markets that value quality, can command higher prices, and builds a stronger brand identity.
- **Cons:** Requires significant investment in marketing and product development, may not be effective in a highly commoditized market, and the impact on short-term profitability may be limited.

5. E-commerce and Digital Marketing:

- **Strategy:** Invest in e-commerce platforms and digital marketing to reach a wider audience, especially younger generations. Develop online campaigns to promote the hobby and educate potential customers.
- **Pros:** Expands the customer base, capitalizes on the growing trend of online shopping, and allows for direct interaction with customers.
- **Cons:** Requires investment in technology and digital capabilities, may face resistance from traditional customers, and poses challenges in standing out in the crowded online market.

b) **Pros and Cons of Each Scenario:**

1. Product Diversification:

- *Pros:* Reduces dependence on a declining market, attracts new customers.
- *Cons:* Requires significant R&D, potential brand dilution.

2. Market Expansion:

- *Pros:* Opens new revenue opportunities, leverages existing networks.
- *Cons:* Requires thorough research, challenges in adapting to new markets.

3. Cost Leadership:

- *Pros:* Improves short-term profitability, aligns with market trends.
- *Cons:* Quality compromise, negative impact on brand reputation.

4. Premiumization and Brand Differentiation:

- *Pros:* Appeals to quality-focused markets, higher prices.
- *Cons:* Requires significant investment, limited impact on short-term profitability.

5. E-commerce and Digital Marketing:

- *Pros:* Expands customer base, capitalizes on online trends.
- *Cons:* Requires technology investment, may face resistance, challenges in standing out online.

The choice among these scenarios depends on a thorough analysis of the company's resources, market conditions, and the competitive landscape. Combining elements from different scenarios may also be a viable strategy to create a comprehensive and adaptable strategic plan.

Answer to the Question# 3(a):

MGM Limited current equity value = 50m shares × Tk.6.50 = Tk.325m

TDCL Co current equity value = Tk.7 million × 1.03/(0.15 – 0.03) = Tk.60.1m

MGM Limited free cash flow to equity = Tk.325m/8 = Tk.40.6m

Combined company valuation = (Tk.40.6m + Tk.7m + Tk.5m) × 8 = Tk.420.8m

Additional value created = Tk.420.8m – Tk.325m – Tk.60.1 m = Tk.35.7m

Answer to the Question# 3(b):

Chanchal Chowdhury TDCL will hold 2m × 5 = 10m shares in combined company

Value per share in combined company = Tk.420.8m/(50m + 10m) = Tk.7.01

Value of Chanchal Chowdhury TDCL's shareholding = 10m × Tk.7.01 = Tk.70.1m

Gain created for Chanchal Chowdhury TDCL = Tk.70.1m - Tk.60.1m = Tk.10m

Gain created for MGM Limited shareholders = Tk.35.7m – Tk.10m = Tk.25.7m

Chanchal Chowdhury TDCL will have a 16.7% (10m/(50m + 10m)) shareholding in the combined company but 28.0% (Tk.10m/Tk.35.7m) of the gain on the combination will be attributable to him. Shareholders who are doubtful about the merger may question whether this is excessive, as possibly TDCL Co's desire to sell is being prompted by the company struggling to remain solvent.

Answer to the Question# 3(c):

Reliability of synergy estimates

The reliability of the estimates may vary depending on the synergies involved. The synergies relating to size and services offered will depend on the ability to gain large contracts and neither company has had recent success in doing this. However, the contracts recently bid for by TDCL Co might have been won if the larger combined company had bid.

The synergies relating to operations and working practices may be difficult to obtain if it is difficult to change the employment conditions of MGM Limited drivers. Claims that improved driver utilization may reduce spare capacity may be true, but there is likely to be less spare capacity anyway if more contracts are won.

Other synergies may be easier to obtain. Duplication of premises in some locations should be eliminated easily, providing TDCL Co does not have onerous rental contracts and there is space on MGM Limited's sites.

Combining central administrative functions should reduce some staffing costs, although these are likely to be smaller synergies than the potential operational synergies.

Problems with achieving synergies

A significant problem may be lack of unity at the top of the company. MGM Limited's directors are not all keen on the acquisition and this may spill over into being unable to agree on a clear post-acquisition plan. If lack of unity at board level becomes apparent to staff, it may be difficult to achieve unity at employee level.

Chanchal Chowdhury's role in the combined company may also make synergies difficult to achieve. He will have a significant shareholding and a place on the board, so it will be difficult for him not to be involved. Possibly he has the abilities and desire to achieve changes in operational practices which other board members lack. However, if Chanchal Chowdhury is given the leading role he requires, there may be a change in management style which may upset long-serving MGM Limited staff. Some may leave, jeopardising the continuity which seems to have been an important part of MGM Limited's success.

Another reason for possible problems with staff is the differing remuneration arrangements. MGM Limited's staff may have stayed with the company because both their job prospects and their remuneration have been safe. Attempts to change their employment conditions may lead to resistance and employee departures. Ex-TDCL Co employees who have been with the company for a while may expect salaries to be increased to be more in line with MGM Limited's employees, particularly if bonus arrangements become less generous.

The success of the acquisition may also depend on how well the staff of the two businesses integrate. Integration may be difficult to achieve. Many of TDCL Co's staff will not have the necessary licence to drive the MGM Limited lorries and may not wish to go through the process of obtaining this licence. MGM Limited drivers may be reluctant to drive the smaller vehicles. Staff sticking to what they have been used to driving is likely to prolong a 'them and us' culture.

Answer to the Question# 4(a):

Foreign exchange exposures

With case one, Edward Thames faces a possible exposure due to the receipt it is expecting in four months in a foreign currency, and the possibility that the exchange rates may move against it between now and in four months' time. This is known as transaction exposure.

With case two, the exposure is in the form of translation exposure, where a subsidiary's assets are being translated from the subsidiary's local currency into Euro.

The local currency is facing an imminent depreciation of 20%.

Finally in the third case, the present value of future sales of a locally produced and sold good is being eroded because of overseas products being sold for a relatively cheaper price. The case seems to indicate that because the US$ has depreciated against the Euro, it is possible to sell the goods at the same dollar price but at a lower Euro price. This is known as economic exposure.

Answer to the Question# 4(b):

Case One

Workings:

Using forward rate

Forward rate = 142 × (1 + (0.085 + 0.0025)/3)/(1 + (0.022 – 0.0030)/3) = 145.23

Income in Euro fixed at ZP145.23 = ZP140,000,000/145.23 = €963,988

Using OTC options

Purchase call options to cover for the ZP rate depreciating

Gross income from option = ZP140,000,000/142 = €985,915

Cost

€985,915 × ZP7 = ZP6,901,405

In € = ZP6,901,405/142 = €48,601

€48,601 × (1 + 0.037/3) = €49,200

(Use borrowing rate on the assumption that extra funds to pay costs need to borrowed initially; investing rate can be used if that is the stated preference)

Net income = €985,915 – €49,200 = €936,715

Hedging strategies

Transactions exposure, as faced by Edward Thames in situation one, lasts for a short while and is easier to manage by means of derivative products or more conventional means. Here Edward Thames has access to two derivative products: an OTC forward rate and OTC option. Using the forward rate gives a higher return of €963,988, compared to options where the return is €936,715 (see workings. However, with the forward rate, Edward Thames is locked into a fixed rate (ZP145.23 per €1) whether the foreign exchange rates move in its favour or against it. With the options, the company has a choice and if the rate moves in its favour, that is if the Zupeso appreciates against the Euro, then the option can be allowed to lapse. Edward Thames needs to decide whether it is happy receiving €963,988, no matter what happens to the exchange rate over the four months or whether it is happy to receive at least €936,715 if the ZP weakens against the €, but with a possibility of higher gains if the Zupeso strengthens.

Edward Thames should also explore alternative strategies to derivative hedging. For example, money markets, leading and lagging, and maintaining a Zupeso account may be possibilities. If information on the investment rate in Zupesos could be obtained, then a money market hedge could be considered. Maintaining a Zupeso

account may enable Edward Thames to offset any natural hedges and only convert currency periodically to minimise transaction costs.

Answer to the Question# 4(c):

Case Two

Workings: Financial impact of the devaluation of the Bangladesh Taka
BDT devalued rate = BDT35 × 1.20 = BDT42 per €1

	BDT 000	Exposed?	€000 at current rate BDT35 per €1	€000 at devalued rate BDT42 per €1
Non-current assets	179,574	Yes	5,131	4,276
Current assets	146,622	60%	2,514	2,095
Non-current liabilities	(132,237)	20%	(756)	(630)
Current liabilities	(91,171)	30%	(781)	(651)
Share capital and reserves	102,788		6,108	5,090

Translation loss = €6,108,000 – €5,090,000 = €1,018,000

Hedging strategies
Hedging translation risk may not be necessary if the stock market in which Edward Thames's shares are traded is efficient. Translation of currency is an accounting entry where subsidiary accounts are incorporated into the group accounts. No physical cash flows in or out of the company. In such cases, spending money to hedge such risk means that the group loses money overall, reducing the cash flows attributable to shareholders. However, translation losses may be viewed negatively by the equity holders and may impact some analytical trends and ratios negatively. In these circumstances, Edward Thames may decide to hedge the risk.

The most efficient way to hedge translation exposure is to match the assets and liabilities. In Namesco Ltd.'s case the assets are more exposed to the Bangladesh Taka compared to the liabilities, hence the weakening of the Bangladesh Taka from BDT35 per €1 to BDT42 per €1 would make the assets lose more (accounting) value than the liabilities by €1,018,000 (see workings). If the exposure for the assets and liabilities were matched more closely, for example by converting non-current liabilities from loans in Euro to loans in BDT, translation exposure would be reduced.

Answer to the Question# 5(a):

The calculations and estimations for part (i) are given in the appendix. To assess whether or not the acquisition would be beneficial to Pursuit's shareholders, the additional synergy benefits after the acquisition has been paid for need to be ascertained.

The estimated synergy benefit from the acquisition is approximately Tk.9,074,000 (see Appendix), which is the post-acquisition value of the combined company less the values of the individual companies. However, once Hyco Electronics Ltd.'s debt obligations and the equity shareholders have been paid, the benefit to BD Lamps Ltd.'s shareholders reduces to approximately Tk.52,000 (see Appendix), which is minimal. Even a small change in the variables and assumptions could negate it. It is therefore doubtful that the shareholders would view the acquisition as beneficial to themselves or the company.

Answer to the Question# 5(b):

The limitations of the estimates stem from the fact that although the model used is theoretically sound, it is difficult to apply it in practice for the following reasons.

The calculations in part (i) are based on a number of assumptions such as the growth rate in the next four years, the perpetual growth rate after the four years, additional investment in assets, stable tax rates, discount

rates and profit margins, assumption that debt is risk free when computing the asset beta. All these assumptions would be subject to varying margins of error.

It may be difficult for BD Lamps Ltd. to assess the variables of the combined company to any degree of accuracy, and therefore the synergy benefits may be hard to predict. No information is provided about the pre-acquisition and post-acquisition costs.

Although it may be possible to estimate the equity beta of BD Lamps Ltd., being a listed company, to a high level of accuracy, estimating Hyco Electronics Ltd.'s equity beta may be more problematic, because it is a private company. Given the above, it is probably more accurate to present a range of possible values for the combined company depending on different scenarios and the likelihood of their occurrence, before a decision is made.

Answer to the Question# 5(c):

The current value of BD Lamps Ltd. is Tk.140,000,000, of which the market value of equity and debt are Tk.70,000,000 each. The value of the combined company before paying Hyco Electronics Ltd. shareholders is approximately Tk.189,169,000, and if the capital structure is maintained, the market values of debt and equity will be approximately Tk.94,584,500 each. This is an increase of approximately Tk.24,584,500 in the debt capacity.

The amount payable for Hyco Electronics Ltd.'s debt obligations and to the shareholders including the premium is approximately Tk.49,116,500 [4,009 + 36,086 × 1.25]. If Tk.24,584,500 is paid using the extra debt capacity and Tk.20,000,000 using cash reserves, an additional amount of approximately Tk.4,532,000 will need to be raised. Hence, if only debt finance and cash reserves are used, the capital structure cannot be maintained.

Answer to the Question# 5(d):

If BD Lamps Ltd. aims to acquire Hyco Electronics Ltd. using debt finance and cash re-serves, then the capital structure of the combined company will change. It will also change if they adopt the Chief Financial Officer's recommendation and acquire Hyco Electronics Ltd. using only debt finance.

Both these options will cause the cost of capital of the combined company to change. This in turn will cause the value of the company to change. This will cause the proportion of market value of equity to market value of debt to change, and thus change the cost of capital. Therefore the changes in the market value of the company and the cost of capital are interrelated.

To resolve this problem, an iterative procedure needs to be adopted where the beta and the cost of capital are recalculated to take account of the changes in the capital structure, and then the company is re-valued. This procedure is repeated until the assumed capital structure is closely aligned to the capital structure that has been re-calculated. This process is normally done using a spreadsheet package such as Excel. This method is used when both the business risk and the financial risk of the acquiring company change as a result of an acquisition (referred to as a type III acquisition).

Alternatively an adjusted present value approach may be undertaken.

Answer to the Question# 5(e):

The Chief Financial Officer's suggestion appears to be a disposal of 'crown jewels'. With-out the cash reserves, BD Lamps Ltd. may become less valuable to TEL Electronics Co. Ltd.. Also, the reason for the depressed share price may be because BD Lamps Ltd.'s share-holders do not agree with the policy to retain large cash reserves. Therefore, returning the cash reserves to the shareholders may lead to an increase in the share price and make a bid from TEL Electronics Co. Ltd. more unlikely. This would not initially contravene the regula-tory framework as no formal bid has been made. However, BD Lamps Ltd. must investigate further whether the reason for a possible bid from TEL Electronics Co. Ltd. might be to gain access to the large amount of cash or it might have other reasons. BD Lamps Ltd. should al-so try to establish whether remitting the cash to the shareholders would be viewed positively by them.

Whether this is a viable option for BD Lamps Ltd. depends on the bid for Hyco Electronics Ltd. In part (iii) it was established that more than the expected debt finance would be needed even if the cash reserves are used

to pay for some of the acquisition cost. If the cash is remitted, a further Tk.20,000,000 would be needed, and if this was all raised by debt finance then a significant proportion of the value of the combined company would be debt financed. The increased gearing may have significant implications on BD Lamps Ltd.'s future investment plans and may result in increased restrictive covenants. Ultimately gearing might have to increase to such a level that this method of financing might not be possible. BD Lamps Ltd. should investigate the full implications further and assess whether the acquisition is worthwhile given the marginal value it provides for the shareholders (see part (i)).

APPENDIX

Part (i)

Interest is ignored as its impact is included in the companies' discount rates

Fodder cost of capital

Ke = 4.5% + 1.53 × 6% = 13.68%

Cost of capital = 13.68% × 0.9 + 9% × (1 – 0.28) × 0.1 = 12.96% assume 13%

Fodder

Sales revenue growth rate = (16,146/13,559)1/3 – 1 × 100% = 5.99% assume 6%

Operating profit margin = approx. 32% of sales revenue

Fodder Co cash flow and value computation (Tk.000)

	Year -1	Year -2	Year -3	Year -4
Sales revenue	17,115	18,142	19,231	20,385
Operating profit	5,477	5,805	6,154	6,523
Less tax (28%)	(1,534)	(1,625)	(1,723)	(1,826)
Less additional investment (22p/Tk.1 of sales revenue increase)	(213)	(226)	(240)	(254)
Free cash flows	3,730	3,954	4,191	4,443
PV (13%)	3,301	3,097	2,905	2,725
PV (first 4 years)				12,028
PV (after 4 years) [4,443 × 1.03/(0.13 – 0.03)] × 1.13_{-4}				28,067
Firm value				40,095

Combined Company: Cost of capital calculation

Asset beta (BD Lamps Ltd.) = 1.18 × 0.5/(0.5 + 0.5 × 0.72) = 0.686
Asset beta (Hyco Electronics Ltd.) = 1.53 × 0.9/(0.9 + 0.1 × 0.72) = 1.417

Asset beta of combined co.
= (0.686 × 140,000 + 1.417 × 40,095)/(140,000 + 40,095) = 0.849

Equity beta of combined company = 0.849 × (0.5 + 0.5 × 0.72)/0.5 = 1.46

Ke = 4.5% + 1.46 × 6% = 13.26%

Cost of capital = 13.26% × 0.5 + 6.4% × 0.5 × 0.72 = 8.93%, assume 9%

Combined Co cash flow and value computation (Tk.000)

Sales revenue growth rate = 5.8%, operating profit margin = 30% of sales revenue

	Year -1	Year -2	Year -3	Year -4
Sales revenue	**51,952**	54,965	58,153	61,526
Operating profit	15,586	16,490	17,446	18,458
Less tax (28%)	(4,364)	(4,617)	(4,885)	(5,168)
Less additional investment (22p/Tk.1 of sales revenue increase)	(513)	(542)	(574)	(607)
Free cash flows	10,709	11,331	11,987	12,683
PV (13%)	9,825	9,537	9,256	8,985
PV (first 4 years)				37,603
PV (after 4 years) [4,443 × 1.03/(0.13 – 0.03)] × 1.13_{-4}				151,566
Firm value				189,169

Synergy benefits = 189,169,000 – (140,000,000 + 40,095,000) = Tk.9,074,000

Estimated premium required to acquire Hyco Electronics Ltd. = 0.25 × 36,086,000 = Tk.9,022,000

Net benefit to BD Lamps Ltd. shareholders = Tk.52,000

Answer to the Question# 6:

IAS 36 Impairment of Assets requires that assets be carried at no more than their carrying amount. Therefore, entities should test all assets within the scope of the standard if there is potential impairment when indicators of impairment exist. If fair value less costs of disposal or value in use is more than carrying amount, the asset is not impaired. It further says that in measuring value in use, the discount rate used should be **the pre-tax rate** which reflects current market assessments of the time value of money and the risks specific to the asset. The discount rate should not reflect risks for which future cash flows have been adjusted and should equal the rate of return which investors would require if they were to choose an investment which would generate cash

flows equivalent to those expected from the asset. Therefore, **pre-tax cash flows and pre-tax discount rates** should be used to calculate value in use. Discounting post-tax cash flows with a post-tax discount rate could give the same result in an entity were it not for any temporary differences and/or tax losses which might exist.

Year-end dates	Pre-tax cash flow BDT'million	Discount factor 8%	PV of cash flows BDT'million
31 December 2023	32	0.9259	29.62
31 December 2024	28	0.8573	24.00
31 December 2025	20	0.7938	15.88
31 December 2026	12	0.7350	8.82
31 December 2027	52	0.6806	35.40
			113.72

The CGU is impaired by the amount by which the carrying amount of the cash-generating unit exceeds its recoverable amount which is the higher of an asset's fair value less costs of disposal and its value in use.

The fair value less costs to sell (BDT 106.4 million) (i.e. 40+68 -0.4 -1.2) is lower than the value in use (BDT113.72 million). The recoverable amount is therefore BDT 113.72 million.

The carrying amount is BDT128 million and therefore the impairment is BDT 14.28 million (i.e. BDT128 – 113.72 million). The impairment loss of BDT 14.28 million is charged to profit or loss for the year ended 31 December 2022.

Samsung Ltd will allocate the impairment loss first to the goodwill and then to other assets of the unit on pro rata basis of the carrying amount of each asset within the cash-generating unit. As a result, the entity will allocate BDT 12 million to goodwill and then allocate BDT 2.28 million on a pro rata basis to PPE (2.28 x 40/116 = BDT 0.78 million) and other assets (2.28 x 76/116 = BDT 1.50 million). This would mean that the carrying amounts would be BDT 39.22 million (i.e. BDT 40 – 0.78 million) for PPE and BDT 74.50 million (i.e. BDT 76 – 1.50 million) for other assets.

However, when allocating the impairment loss, the carrying amount of an asset cannot be reduced below its fair value less costs to sell. The fair value less costs to sell of the CGU's assets is BDT 39.6 million (PPE) (BDT 40 million – BDT0.4 million) and BDT 66.8 million (other assets) (BDT 68 million – BDT 1.20 million).

Therefore, the carrying amounts of the assets of the CGU after impairment will be PPE BDT 39.6 million and other assets BDT 74.12 million as the excess impairment of BDT 0.38 million on PPE will be allocated to other assets.

Answer to the Question# 7(a):

Improper Earnings Management: Improper earnings management refers to the manipulation of financial statements by a company's management to present a more favorable picture of the company's financial performance than what is actually warranted by its operations. This can involve artificially inflating or deflating earnings, revenues, or other financial metrics. An example of improper earnings management could be the premature recognition of revenue. For instance, recognizing revenue from a sale before the product is delivered or services are performed can artificially boost short-term financial results.

Answer to the Question# 7(b):

Motivations for Improper Earnings Management: Motivations for improper earnings management often stem from various pressures, including:

1. **Market Expectations:** Managers may feel compelled to meet or exceed analysts' earnings forecasts to maintain or increase the company's stock price.

2. **Executive Compensation:** Performance-based compensation tied to financial metrics may drive managers to manipulate earnings to maximize their bonuses or stock options.
3. **Debt Covenant Compliance:** Companies with debt agreements may manipulate earnings to avoid violating debt covenants.
4. **Job Security:** Managers might engage in earnings management to portray a positive image to stakeholders and secure their positions within the company.

Answer to the Question# 7(c):

"Gray Area" in Financial Reporting: The term "gray area" in financial reporting refers to situations where the interpretation of accounting standards or principles is ambiguous, and there is room for subjective judgment. In these situations, companies may have discretion in selecting accounting methods, estimates, or assumptions. An example could be the assessment of the useful life of intangible assets. The determination of the appropriate useful life involves judgment, and different companies might make different choices based on their interpretations, leading to a gray area.

Answer to the Question# 7(d):

Key Distinctions between Financial Fraud and Gray Area in Financial Reporting:

Financial Fraud:

- Involves intentional and deceptive actions with the aim of misrepresenting financial results.
- Typically involves deliberate manipulation, falsification, or misrepresentation of financial information.
- Clear violation of accounting principles and ethical standards.

Gray Area in Financial Reporting:

- Involves situations where interpretations of accounting standards are ambiguous, and there is room for subjective judgment.
- Actions may be within the bounds of accounting standards, but there is room for differing interpretations.
- May involve a more subjective exercise of judgment rather than intentional deception.

Answer to the Question# 7(e):

Improving Internal Control to Prevent Improper Earnings Management:

1. **Enhanced Oversight and Ethics Training:**
   - Implement strong oversight mechanisms to monitor financial reporting practices.
   - Provide ongoing ethics training to ensure employees are aware of the importance of accurate and transparent financial reporting.
2. **Segregation of Duties:**
   - Clearly define and segregate duties to prevent a single individual from having excessive control over financial reporting processes.

- This reduces the opportunity for one person to manipulate financial information without detection.

3. **Transparent Reporting Policies:**
   - Develop and enforce clear reporting policies to ensure consistent and transparent financial reporting practices.
   - Encourage open communication and reporting of potential issues.
4. **Independent Audit Committees:**
   - Establish an independent audit committee with members who have financial expertise to oversee financial reporting practices.
   - Ensure the committee has the authority to investigate potential issues and report findings to the board.
5. **Whistleblower Protection:**
   - Implement a whistleblower protection program to encourage employees to report concerns without fear of retaliation.
   - Ensure that employees have a mechanism to report suspicions of improper earnings management.
6. **Robust Internal Controls Testing:**
   - Regularly conduct testing of internal controls to identify weaknesses or gaps in the system.
   - Implement corrective actions to address identified deficiencies promptly.
7. **Use of Technology:**
   - Implement data analytics tools to detect unusual patterns or trends in financial data that may indicate potential manipulation.
   - Leverage technology to enhance the efficiency and effectiveness of internal controls.

By implementing these measures, a listed company can strengthen its internal control environment and mitigate the risk of improper earnings management.

Answer to the Question# 8(a) (i):

Receivables balance owing from Abu Company Ltd

The written representation proposed by management is intended to verify the valuation, existence and rights and obligations of a material receivables balance. However, as management has refused to allow the auditor to circularize the balance and there has been little activity on the account for the past eight months, then there is very little evidence that the auditor has obtained.

- This representation would constitute entity generated evidence, and this is less reliable than auditor generated evidence or evidence from an external source. However, if related control systems operate effectively, then this evidence becomes more reliable. In addition, if the representation is written as opposed to oral, this will increase the reliability as an evidence source.
- Overall, this representation is a weak form of evidence, as there were more reliable evidence options available, such as the circularization, but this was not undertaken.

Answer to the Question# 8(a) (ii):

To reach a conclusion on the balance, the following procedures should be performed:

- Discuss with management the reasons as to why a circularization request was refused.
- Review the post year-end period to identify whether any cash has now been received from Abu Company Ltd
- Review correspondence with Abu Company Ltd to assess reasons for the continued non-payment.
- Review board minutes and legal correspondence to assess whether any legal action is being taken to recover the amounts due.
- Discuss with management whether a provision or write down is now required.
- Consider the impact on audit opinion if balance is materially misstated.

Warranty provision

i) In this case, the auditor has performed some testing of the provision to obtain auditor-generated evidence. The team has tested the calculations and assumptions. None of this is evidence from an external source. The very nature of this provision means that it is difficult for the auditor to obtain a significant amount of reliable evidence as to the level of future warranty claims. Hence written representation, whilst being an entity generated source of evidence, would still be useful as there are few other alternatives.

ii) To reach a conclusion on the balance, the following procedures should be performed:

- Review the post year-end period to compare the level of claims made against the amounts provided.
- Review the level of prior year provisions with the amounts claimed to assess the reasonableness of management's forecasting.
- Review board minutes to assess whether any changes are required to the level of the provision because of an increased or decreased level of claims by customers.

Answer to the Question# 8(b):

'anything legal is ethical' is insufficient because of the following arguments:

a. The law is not appropriate for regulating all business activity because not everything that is unethical is illegal.

b. The law is slow to develop in emerging areas of concern. Laws take time to be legislated and tested in courts. Further, they cannot anticipate all future ethical dilemmas; basically, they are a reaction to issues that have already surfaced.

c. The law often is based on moral concepts that are not precisely defined and that cannot be separated from legal concepts. Moral concepts must be considered along with legal ones.

d. The law is often in need of testing by the courts. This is especially true of case law, in which the courts establish precedent.

e. The law is not very efficient. Efficiency, in this case, implies achieving ethical behavior at a very low cost, and it would be impossible to solve every ethical behavioral problem with a law.

---The End---